

# REFERME INVESTMENTS

## TO-BE PROCESS

Standardized Investment Evaluation & Monitoring Process  
February - June 2026

| Document Control | Details                                                                                                                              |
|------------------|--------------------------------------------------------------------------------------------------------------------------------------|
| Document ID      | RMI-TOBE-001                                                                                                                         |
| Version          | 1.0                                                                                                                                  |
| Purpose          | Define the proposed target-state process for standardized investment evaluation, scoring, decision support and portfolio monitoring. |
| Framework        | 28 KPIs   5 dimensions   0-100 scoring architecture   Power BI decision-support views                                                |
| Status           | Proposed TO-BE design. Scoring weights and recommendation thresholds require stakeholder validation/approval.                        |
| Control          | No unsupported production systems, approval hierarchy, SLA, refresh frequency or proprietary investment rule is asserted.            |

# 1. Purpose

The TO-BE process defines how ReferMe Investments can move from a conceptual analyst-led evaluation approach to a standardized, traceable and data-driven investment analytics process. It incorporates structured intake, data validation, KPI calculation, normalized scoring, business-level analysis, recommendation support and post-investment monitoring.

## 2. Proposed End-to-End TO-BE Flow

**Investment target identified → Business data collected → Data validated → 28 KPIs calculated → KPI performance normalized → 5 dimension scores calculated → Overall Investment Score calculated → Underlying KPI/risk evidence reviewed → Recommendation supported → Decision recorded → Portfolio monitored → Risks/alerts reviewed**

The sequence above represents the project's target-state analytical process. Recommendation thresholds, scoring weights and production governance remain configurable until approved.

## 3. Detailed TO-BE Process Steps

| Step | Target-State Activity                 | Required Behavior                                                                                                    | Primary Output                              |
|------|---------------------------------------|----------------------------------------------------------------------------------------------------------------------|---------------------------------------------|
| 1    | Identify / register investment target | Maintain investment-target master information for the business being evaluated.                                      | Investment target record                    |
| 2    | Collect evaluation inputs             | Capture validated financial, operational, customer and risk-related inputs required for the KPI framework.           | Evaluation input dataset                    |
| 3    | Validate data quality                 | Check required inputs for completeness/validity and expose data-quality status.                                      | Validated inputs + data-quality status      |
| 4    | Calculate 28 KPIs                     | Calculate the defined investment KPIs from available validated inputs.                                               | KPI results by business                     |
| 5    | Normalize KPI performance             | Convert KPI performance into comparable scoring values using approved/configured methodology.                        | Normalized KPI values                       |
| 6    | Calculate dimension scores            | Aggregate KPI performance into Financial Strength, Operational Performance, Growth, Customer Health and Risk scores. | Five dimension scores                       |
| 7    | Calculate Investment Score            | Apply validated/configured dimension weights to produce an overall 0-100 Investment Score.                           | Overall Investment Score                    |
| 8    | Review underlying evidence            | Inspect the dimension scores, underlying KPIs, risk indicators and data-quality limitations.                         | Explainable business assessment             |
| 9    | Support recommendation                | Use the approved scoring/recommendation configuration to support Invest / Review / Reject.                           | Recommendation status                       |
| 10   | Record / communicate decision         | Present decision-support information to the relevant investment stakeholders and retain traceability.                | Decision-support output / recorded decision |

|    |                                 |                                                                                                               |                                |
|----|---------------------------------|---------------------------------------------------------------------------------------------------------------|--------------------------------|
| 11 | Monitor portfolio performance   | Compare actual versus target, KPI trends, score changes and risk changes where historical/target data exists. | Portfolio monitoring view      |
| 12 | Review early-warning indicators | Identify deterioration or concentration signals and businesses requiring attention.                           | Risk & Alerts / attention list |

## 4. Target-State Evaluation Dimensions

| Dimension               | Weight in Proposed Model | Purpose                                                                     |
|-------------------------|--------------------------|-----------------------------------------------------------------------------|
| Financial Strength      | 25%                      | Evaluate revenue, profitability and cash-generation strength.               |
| Operational Performance | 20%                      | Evaluate workforce/cost efficiency, capacity and service execution.         |
| Growth                  | 20%                      | Evaluate customer/revenue expansion and recurring revenue characteristics.  |
| Customer Health         | 15%                      | Evaluate retention, churn, repeat behavior, complaints and concentration.   |
| Risk                    | 20%                      | Evaluate volatility, concentration, margin/cash-flow risk and data quality. |

These weights are proposed assumptions in the project design and must not be represented as final proprietary ReferMe investment rules without stakeholder validation.

## 5. Decision-Support Views

| Power BI Page         | TO-BE Purpose                                                                                                         |
|-----------------------|-----------------------------------------------------------------------------------------------------------------------|
| Investment Overview   | Portfolio-level pipeline, evaluated businesses, average score, recommendation status and key dimension indicators.    |
| Investment Evaluation | Selected-business overall score, five dimension scores and underlying KPI evidence.                                   |
| Business Profile      | Selected-business revenue, customers, profitability, operations, growth and risk information.                         |
| Portfolio Monitoring  | Actual versus target, KPI trends, score/risk changes, early warnings and attention list where supporting data exists. |
| Risk & Alerts         | Revenue decline, churn, margin deterioration, concentration and cash-flow risk signals where required data exists.    |

## 6. TO-BE Business Controls

- Use common KPI definitions across evaluated businesses.
- Expose underlying KPI evidence rather than relying only on a composite score.
- Keep scoring weights and recommendation thresholds configurable until business approval.
- Make data-quality status visible as part of risk assessment.
- Use traceability from business requirement through functional behavior, user story, UAT scenario and dashboard output.

- Only display historical trends, CAGR, volatility or actual-versus-target analysis when sufficient supporting data exists.
- Record material methodology changes through change control and decision logging.

## 7. AS-IS to TO-BE Improvement

| AS-IS Gap                                    | TO-BE Response                                                            | Expected Business Benefit                                         |
|----------------------------------------------|---------------------------------------------------------------------------|-------------------------------------------------------------------|
| Non-standard evaluation criteria             | 28-KPI standardized evaluation framework                                  | More consistent assessment across investment targets.             |
| Metrics not consistently linked to decisions | Dimension scoring, overall score and recommendation support               | Clearer connection between evidence and investment decision.      |
| Limited comparability across businesses      | Normalized KPI performance and common 0-100 scoring architecture          | Improved cross-business comparison.                               |
| Weak post-investment visibility              | Portfolio Monitoring with actual-vs-target, trends and score/risk changes | Earlier visibility of deterioration where historical data exists. |
| Data completeness uncertainty                | Data Quality Score/status integrated into risk                            | More transparent confidence in the evaluation.                    |

## 8. Exceptions and Decision Points

| Condition / Gateway                   | Target-State Handling                                                                                                           |
|---------------------------------------|---------------------------------------------------------------------------------------------------------------------------------|
| Required data incomplete or invalid   | Expose data-quality issue; request clarification/correction where possible; do not silently treat missing evidence as positive. |
| Scoring methodology not approved      | Retain configuration as proposed/TBD; do not represent recommendation as an approved proprietary decision rule.                 |
| Historical data unavailable           | Do not fabricate trends, CAGR, volatility or score-change analysis.                                                             |
| Material KPI/risk weakness identified | Allow analyst/user to inspect underlying evidence before recommendation/decision.                                               |
| Methodology or requirement changes    | Assess impact on BR/FR, KPI calculations, dashboards, RTM and UAT before implementation.                                        |

## 9. Roles in the Proposed Process

The project documentation supports stakeholder groups rather than named individuals. Exact production accountability must be validated before operational use.

| Stakeholder Group             | TO-BE Involvement                                                                          |
|-------------------------------|--------------------------------------------------------------------------------------------|
| Investment / Underwriting     | Evaluate targets, review scoring evidence and recommendation support.                      |
| Finance / Investment Analysts | Validate financial KPI definitions/calculations and analytical evidence.                   |
| Operations / Portfolio        | Review operational/customer performance and portfolio monitoring.                          |
| Data / BI                     | Support data mapping, calculations, semantic model, reporting and data-quality visibility. |
| Senior Management             | Consume portfolio-level decision-support and material risk information.                    |
| Investment Target             | Provide/clarify required business information where applicable.                            |

## 10. Success Conditions

- Users can evaluate each target across all five defined dimensions.
- The solution calculates and displays the defined KPI framework from validated available data.
- Users can trace an overall score back to dimension and KPI evidence.
- Recommendation support is based only on approved/configured rules.
- Portfolio monitoring and early-warning analysis are available when the necessary historical and target data exists.
- Data-quality limitations remain visible to decision users.

## 11. Open Items Requiring Validation

- Final scoring weights.
- Final Invest / Review / Reject thresholds.
- Segment-specific benchmarks and normalization rules.
- Exact production data sources and integration method.
- Refresh frequency and operational SLA.
- Authentication, access control and any row-level security requirements.
- Named approval owners and final decision governance.

